ACTION TRIGGERS · ENERGY, INFRASTRUCTURE & CLIMATE RESILIENCE · 18 SEPTEMBER 2026

The Fight Over Who Pays for Power Shortages Will Be Settled in Regulatory Filings

Power shortages now carry a price, set in capacity auctions and emergency procurements, and the contest is over who pays it. State tariffs and long-term contracts are naming payers now, and backstop results land on 2 December.

Produced using **Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence**.
Scanned and filtered by AI. **Stress-tested and judged by humans**.

How long you have to get ready

The four actions below, from today to the moment each falls due. Select a pill to see what would change it, or a number to go to the action.

Since the last Action Triggers on 17 July 2026: NEW 4 OFF THE LIST 4

Show what came off ▸

Now

Now to Dec 2026	Jan–Mar 2027	Apr–Jun 2027
IMMEDIATE	NEXT QUARTER	NEXT PLANNING CYCLE

1 NEW **Fix your cost-allocation exposure in writing before the instrument is set for you.**

Strategy and Regulatory Affairs

DECIDE

◇ 2 Dec: backstop results due

2 NEW **Convert every turbine reservation into a decision: firm the slot or release it.**

Capital planning and CFO

PREPARE

◇ Year end: turbine backlog disclosed

3 NEW **Re-underwrite adequacy on what can be dispatched, not on what is installed.**

Risk and Resource Planning

PREPARE

4 NEW **Watch whether the payer question settles by copy or stays market by market.**

Government Affairs

MONITOR

◇ 31 Mar: second-state test

time to get ready ◇ key date DECIDE act now PREPARE get ready to act MONITOR watch it

Early warnings

Signals the portfolio surfaced before consensus formed, in the order they hardened.

LEAD TIME 1 WEEK AHEAD · SIGNAL SCAN · DECISION INTELLIGENCE

Much of the gas capacity now counted as secured will never be built.

INITIAL SIGNAL

We identified that access to US generating capacity through 2031 is being allocated by cash deposits at the manufacturers rather than by firm orders, and that the disclosed backlog numbers conflate the two.

NOW EVIDENT

- **246.6 GW disclosed**: across four manufacturers in July and August, of which 89 GW is a slot reservation rather than a firm order.
- **18 of 20 GW**: of what GE Vernova signed in the second quarter were reservations.
- **Corrected in-cycle**: the briefing nine days later had to restate the 116 GW figure as backlog plus slot reservation agreements, because secondary coverage was reporting it as capacity under contract.

MARKER **125 GW under contract, year-end 2026**

PREPARE — Capital planning should treat a reservation as an option with a premium, not as supply.

LEAD TIME 3 WEEKS AHEAD · SIGNAL SCAN · DECISION INTELLIGENCE

Grids will fall short on the day their own figures say they are covered.

INITIAL SIGNAL

We flagged that retirement deferrals are inflating reserve margins with units that are held open by order and run far below their own recent history.

NOW EVIDENT

Conventional forced outage rates reached 9.2% in 2025, so the reserve requirement itself is being set against a fleet that is less available than its nameplate implies. The September briefing's counter-argument turns on the same distinction: what an auction procures and what the system can actually dispatch are different quantities.

FORCED OUTAGE RATE **9.2% in 2025**

PREPARE — Resource planners should re-underwrite adequacy on deliverable availability, not installed margin.

LEAD TIME 5 WEEKS AHEAD | SIGNAL SCAN | DECISION INTELLIGENCE

Published data-centre demand will keep shrinking as cash tests spread.

INITIAL SIGNAL

We identified that utilities and regulators are deflating data-centre load pipelines by asking for money rather than by challenging the forecasts.

NOW EVIDENT

- **A third or more**: of disclosed demand disappears wherever deposits, transmission security agreements or state audits are applied.
- **Consumption unchanged**: the underlying trajectory does not move; what moves is how much of the pipeline survives a cash test.
- **Now in the mainstream**: the September briefing had to concede the same gap, against an ERCOT queue holding roughly 460,000 MW of interest on a system that peaked at 91.1 GW.

DECIDE

Anyone underwriting against a published load pipeline should discount it by the collateral test.

LEAD TIME 5 WEEKS AHEAD | SIGNAL SCAN | CHANGE TRACKER

One court ruling could put years of deferred power-plant closures back in play.

INITIAL SIGNAL

We flagged that a 90-day emergency authority had become the instrument deciding which US plants retire, and that no order issued under it had yet been allowed to lapse.

NOW EVIDENT

- **22 orders, 12 units**: every DOE 202(c) order issued since May 2025 has been renewed.
- **Over $300 million**: in ratepayer cost carried by units held open this way.
- **Under review**: the DC Circuit is weighing whether the rolling renewals are lawful.

REGISTERED AS A MOVER **27 August momentum read**

MONITOR

A single adverse ruling would return several gigawatts of retirement decisions to the market at once.

LEAD TIME STILL AHEAD SIGNAL SCAN DECISION INTELLIGENCE

Lenders will demand proof against climate damage before insurers charge for it.

INITIAL SIGNAL

We flagged that proof of physical adaptation is turning into a condition of infrastructure finance rather than merely a route to cheaper cover, and that the softest reinsurance market in years is masking the shift.

NOW EVIDENT

Nothing in the price signal contradicts it, which is the problem: first-half insured catastrophe losses were the lowest since 2019 and property reinsurance rates fell at both renewals, so the market reads easing risk while supervisors, development financiers and lenders build the evidence machinery underneath. Consensus has not caught up, and this briefing does not expect it to before the next loss year.

RATES **down 12% at January, 16% at July**

PREPARE

Treasury and project finance should assume the evidence test arrives before the price signal does.

Assumptions that have shifted

Cycle-over-cycle assumption changes, in decreasing order of strategic weight.

SHIFT 1 OF 5 REPLACED

Getting connected to the grid was supposed to be the hard part

PRIOR CYCLE HELD

The prior cycle held that "The binding constraint is the transmission and interconnection queue", and had already moved that reading once, tracking the constraint downstream from the queue to hardware, then to water, then to the grid's authority to refuse load.

THIS CYCLE READS

It moved again, and this time off the engineering axis entirely. The refusal power was held and never used; what rationed access was price and paperwork. The successor constraint is cost allocation: who is named the payer for the infrastructure a large load triggers.

- **Price**: a capacity auction at its administrative ceiling, and a backstop procurement filed at up to $555/MW-day.
- **Payer**: one state ordering developers to fund what they trigger, and 23 states now holding a large-load tariff.
- **Perimeter**: a federal regulator putting all six organised markets on notice over large-load connection rules.

FORWARD THESIS

Plan against the allocation instrument in each market rather than against a megawatt shortfall. The tripwire is **whether a second state follows Pennsylvania's permit-linked cost-causation order**.

SHIFT 2 OF 5 OVERTURNED

Having spare capacity was supposed to mean the lights stay on

PRIOR CYCLE HELD

Prior thinking held that "Reliability equals adequacy, measured by the reserve margin", and had already conceded that the margin understates reliability risk, placing the weight on system strength and curtailment authority instead.

THIS CYCLE READS

The evidence now points the other way round: the margin does not merely understate the risk, it overstates the supply. Retirement deferrals pad it with units that are held open by order and run below their own recent history, against conventional forced outage rates of 9.2%.

FORWARD THESIS

Adequacy should be measured on what can be dispatched at the hour of need. The tripwire is **the first reserve-margin restatement that nets out order-held units**.

SHIFT 3 OF 5 SPLIT

A big cut in AI spending was the thing that would break the forecast

PRIOR CYCLE HELD

The prior cycle held that "A sustained 15%+ hyperscaler capex cut would break the demand thesis". That threshold broke upward rather than triggering, and the fragile variable moved from demand to returns.

THIS CYCLE READS

The belief now splits cleanly. The spending is real and rising, at roughly $490bn across five hyperscalers in the twelve months to May 2026. The connected load is not: collateral tests remove a third or more of disclosed pipelines wherever they are applied, and 89 GW of the turbine pipeline is a reservation rather than an order.

FORWARD THESIS

Treat capital commitment and deliverable load as two separate forecasts with two separate tripwires. The one that matters here is **incremental debt as a share of capex rising beyond 32%**.

SHIFT 4 OF 5 HOLDING

Cover for climate damage was only ever going to get harder to buy

PRIOR CYCLE HELD

Prior thinking held that "The insurability frontier is hardening". The prior cycle recorded a reversal on price alongside a migration of venue, and named the credit channel as the signal to watch rather than the cat-cover line.

THIS CYCLE READS

That reading survived a direct test, which is why it appears here despite the market reading the opposite. Cover got cheaper again at both renewals while the frontier kept moving into instruments that set cost of debt: wildfire liability across the US West now turns on compliance with a regulator-approved mitigation plan, and a state study has made large groundwater permits east of Interstate 95 effectively unavailable.

FORWARD THESIS

Keep repricing physical exposure through the credit channel. The tripwire is **the first utility whose debt is repriced on the contents of its mitigation plan**.

SHIFT 5 OF 5 WEAKENED

Solar was cheap, and nothing was going to stop it

PRIOR CYCLE HELD

The prior consensus held that "Solar is the cheapest power and its build-out is unstoppable". The prior cycle read solar's own success as collapsing its capture price, moving the binding constraint from generation cost to captured revenue.

THIS CYCLE READS

The build-out is not in doubt and is now the only thing deliverable inside the window: 11,458 MW of solar and 8,207 MW of batteries came online in the first half of 2026 against 2,707 MW of gas. The confidence loss is elsewhere. Solar met 32% of a Texan evening peak, which is not the same resource as firm capacity on a still winter night, and that is the hour the capacity auctions are procuring for.

FORWARD THESIS

Hold the build-out thesis and separate it from the firmness thesis. The tripwire is **the first capacity auction that clears below its cap on storage and flexible load**.

Actions triggered

Each trigger names why it activates now, why it matters, the recommended actions, the primary decision owner, the decision window, and the conditions under which the recommendation should be reviewed.

DECIDE ACTION 1 DECISION INTELLIGENCE CHANGE TRACKER SIGNAL SCAN

Fix your cost-allocation exposure in writing before the instrument is set for you.

TRIGGER CONDITION

This recommendation has been activated because the shortfall acquired an explicit price this cycle, because one state has already ordered data-centre developers to fund the infrastructure they trigger and 23 states now hold a large-load tariff, and because the terms in the remaining markets are being written right now in responses to a federal show-cause deadline that has already passed.

PRIMARY DECISION OWNER Strategy and Regulatory Affairs

DECISION WINDOW IMMEDIATE Backstop results due 2 December 2026

WHY THIS NOW MATTERS

A tariff written while you are not in the room becomes a balance-sheet commitment with an exit cost, and the approved instruments now run to thirty years. The cost of engaging late is not a worse price, it is a contract length nobody modelled.

RECOMMENDED ACTIONS

- **Immediate:** list every jurisdiction where you hold or plan a large load, and record which allocation instrument is in force there: tariff, voluntary pledge, network-charge subsidy, or conditional access.
- **Immediate:** file or join a response in any market still writing its rules, rather than commenting after the order.
- **Next quarter:** put contract length, minimum-charge floor, upgrade-cost share and exit liability on one page per connection, with a named internal owner for each.

REVIEW CONDITIONS

This recommendation should be reviewed if a second state adopts a permit-linked cost-causation order, which would escalate it from a market-by-market response to a national position, if the backstop procurement clears well below its ceiling and takes the urgency out of the payer question, or if a federal rulemaking reaches retail cost allocation and removes the state-by-state variation this action is built around.

PREPARE ACTION 2 SIGNAL SCAN DECISION INTELLIGENCE

Convert every turbine reservation into a decision: firm the slot or release it.

TRIGGER CONDITION

This recommendation has been activated because 89 GW of the 246.6 GW disclosed by four manufacturers is a reservation rather than an order, because 18 of the 20 GW GE Vernova signed in the second quarter fell into that category, and because the year-end marker of at least 125 GW under contract will make the distinction visible to everyone at once.

PRIMARY DECISION OWNER Capital planning and CFO

DECISION WINDOW NEXT QUARTER Year-end 2026 backlog disclosure

WHY THIS NOW MATTERS

A reservation is an option you are paying to hold, and options held without a decision date quietly become sunk cost. The window to convert or release closes when the manufacturers publish what actually converted.

RECOMMENDED ACTIONS

- **Immediate:** state a firm-capacity requirement by season and by hour for 2029 to 2032, because the reservation cannot be priced without one.
- **Next quarter:** take a reserve-or-release position on every slot held, and record the premium paid for each.
- **Follow-on:** price the solar-plus-storage bridge for any load whose requirement is not firm winter capacity, given what actually came online this year.

REVIEW CONDITIONS

This recommendation should be reviewed if the manufacturers disclose conversion rates that show reservations firming at a high rate, which would make holding the cheaper error, if lead times shorten as the announced capacity expansions land, or if a firm-capacity requirement turns out to be smaller than assumed once flexible load is priced in.

PREPARE ACTION 3 SIGNAL SCAN DECISION INTELLIGENCE

Re-underwrite adequacy on what can be dispatched, not on what is installed.

TRIGGER CONDITION

This recommendation has been activated because retirement deferrals are padding reserve margins with units held open by federal order, because conventional forced outage rates reached 9.2% in 2025, and because the units concerned are running materially below their own recent history, so the margin is being met with capacity that has not been shown to answer a call.

PRIMARY DECISION OWNER Risk and Resource Planning

DECISION WINDOW NEXT PLANNING CYCLE Next annual adequacy review

WHY THIS NOW MATTERS

An adequacy number that counts unavailable megawatts produces a plan that is short precisely when it believes itself covered. This is a measurement error, and measurement errors survive until somebody changes the measure.

RECOMMENDED ACTIONS

- **Immediate:** identify every unit in your adequacy calculation that is held open by order rather than by economics.
- **Next quarter:** restate the margin with an availability weighting drawn from each unit's recent performance, not its nameplate.
- **Follow-on:** put the restated figure in front of the risk committee alongside the headline margin, so the gap is visible rather than netted.

REVIEW CONDITIONS

This recommendation should be reviewed if a regulator adopts an availability-weighted adequacy measure and does the work centrally, if the DC Circuit ends the rolling renewals and the order-held units leave the calculation, or if forced outage rates fall back toward their historic band and the gap closes on its own.

MONITOR ACTION 4 CHANGE TRACKER DECISION INTELLIGENCE

Watch whether the payer question settles by copy or stays market by market.

TRIGGER CONDITION

This recommendation has been activated because the instruments in use are diverging rather than converging: state tariffs in the United States alongside a voluntary federal pledge, a transmission-charge subsidy in Germany, a European proposal to cut network charges for particular consumer groups, and a Spanish draft that would make network access itself revocable. None has yet been tested against a demand disappointment.

PRIMARY DECISION OWNER **Government Affairs**

DECISION WINDOW MONITOR ONLY **Reinstate as Prepare on a second copy**

WHY THIS NOW MATTERS

Whether this stays a set of local negotiations or becomes a copied standard decides whether the response is a jurisdiction-by-jurisdiction workload or a single position. That is a resourcing question as much as a policy one.

RECOMMENDED ACTIONS

- **Immediate:** keep one line per jurisdiction naming the instrument in force, reviewed each quarter.
- **Immediate:** flag any move from voluntary pledge to enforceable tariff, or from financial penalty to conditional access.
- **Follow-on:** hold a drafted group position ready to deploy if the pattern starts to replicate.

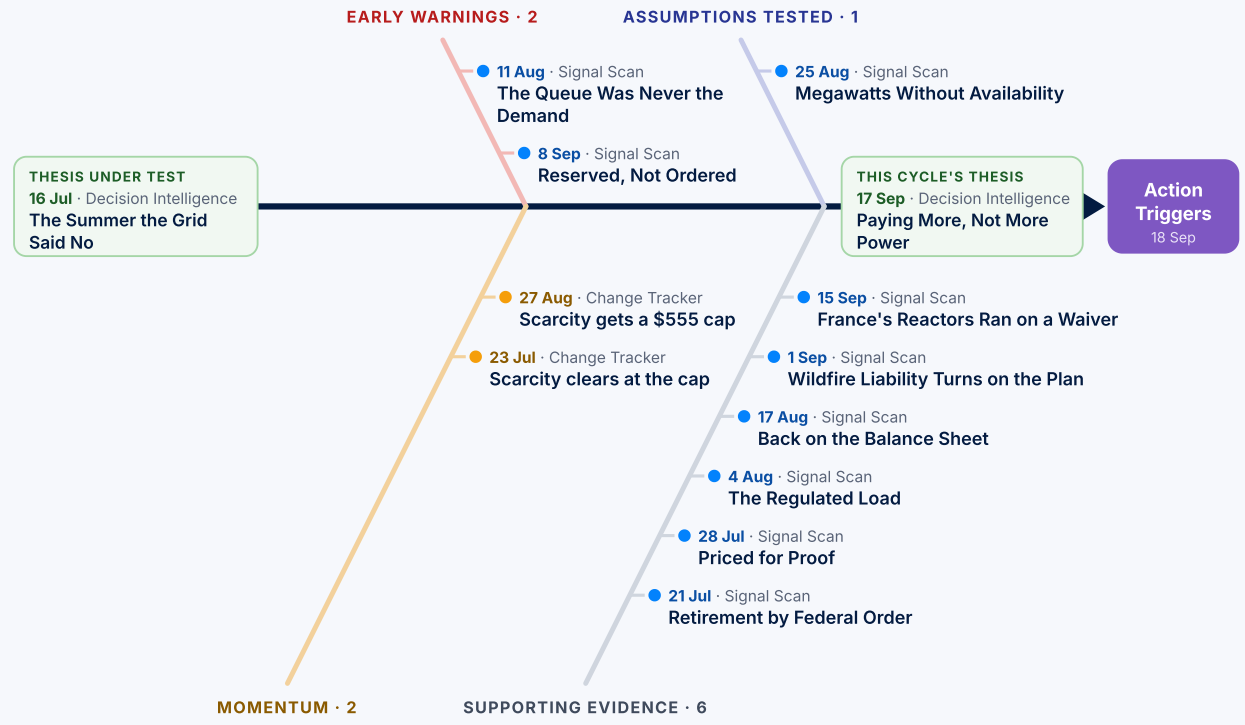
REVIEW CONDITIONS

Reinstate this as Prepare if a second state adopts a permit-linked cost-causation order before 31 March 2027, or if the Spanish decree passes with the revocable-access sanction intact. Stand it down if the first instrument to meet a cancelled project leaves the stranded cost with the developer as written.

IF YOU ACT ON ONE THING

Put your share of grid costs in writing before regulators set it for you, because approved contracts now run for decades and cost far more to exit.

DRAWING ON



Signal Scan Change Tracker Decision Intelligence

Each bone groups the deliverables by what they added, with the oldest at the outer end. Hover over any deliverable for its full title.

HOW THIS WAS MADE

The Decision-Grade Intelligence Method

Shaping Tomorrow's six-stage process for converting external change into decision-ready intelligence.

Scan · Filter · Stress-test · Judge · Trigger · Actionable Intelligence

See full methodology → · How we verify → · Track record →

This briefing is not another report. It is the synthesis produced after continuously monitoring signals, tracking change, testing assumptions and updating scenarios throughout the cycle on **Energy, Infrastructure & Climate Resilience**. Its purpose is to identify the points at which accumulated evidence has become decision-changing: the early warnings the work caught before consensus formed, the assumptions that have shifted between cycles, and the actions now decision-shaped enough to act on. Continuous intelligence on this topic is available as a Single-Topic or Multi-Topic programme.

Discuss a Tailored Programme

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